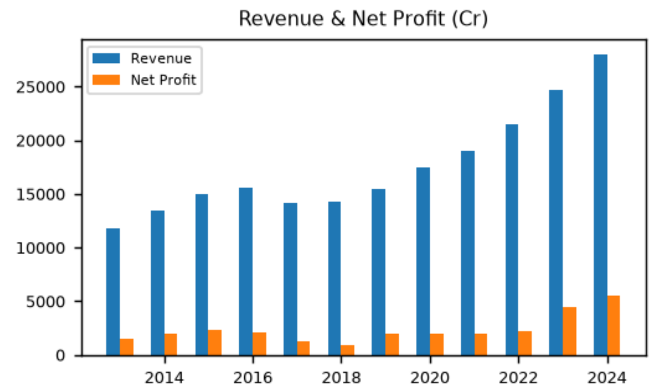
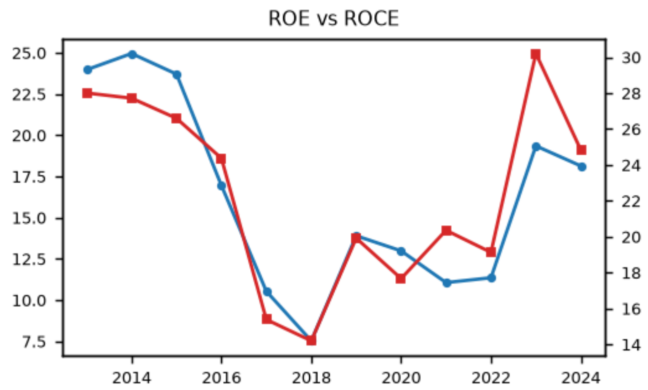
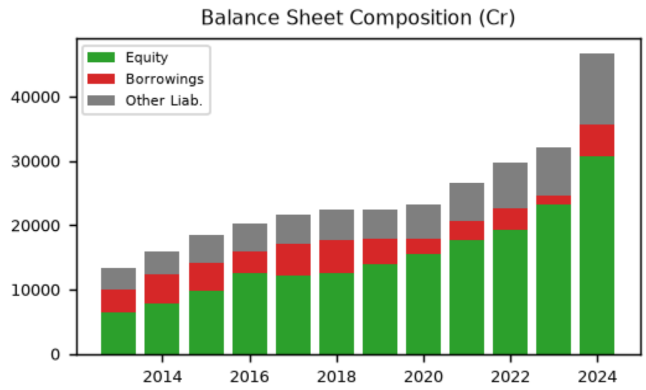
Dr Reddys Laboratories Ltd (DRREDDY)

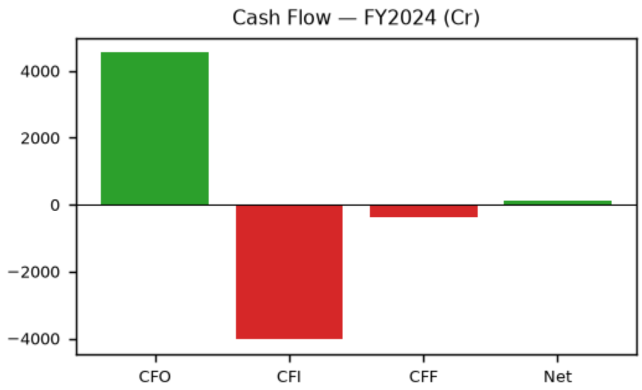
Healthcare · Fiscal Year 2024

ROE 18.1%	**ROCE** 24.8%	**Net Profit Margin** 19.9%
D/E 0.2	**Revenue CAGR 5yr** 12.6%	**FCF (Cr)** 509









Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Debt-to-equity ratio of 0.16 is elevated for a non-financial company and warrants monitoring

Capital Allocation: Reinvestor